

An **objective** means a specific result that an organisation or a person intends to reach within a stated time. For example, "sell 500 copies of one school textbook before 30 June" is an objective, because it names a result, a number and a date. In everyday talk people say goal or aim. In this book, objective is the formal word, and goal appears only in plain talk. An organisation usually holds several objectives at once, and together they decide which plan it chooses from the alternatives open to it.

Why does an organisation need objectives? There are four reasons. Objectives give direction, because every person knows the destination. They join effort, because the cashier and the stock clerk steer towards the same place. They motivate, because people work harder towards a result they can see and reach. They supply a measure: when the year ends, the result can be set beside the objective. Chapter 18, 'Controlling', teaches how that comparison is used.

Objectives share several features, and each feature helps you test whether a statement deserves the name. First, an objective names a result, not an activity. "Hold a sale" is an activity. "Sell 2,000 copies in the sale" is a result. Second, an objective states a time. A result with no date can always be postponed. Third, an objective carries a measure where one is possible; section 9.2 returns to this. Fourth, objectives form a network. The organisation's objectives lead to objectives for each department, and these lead to objectives for individual employees. Fifth, objectives can conflict. A shop that cuts its stock to save money may find that it cannot also promise every customer that every title is on the shelf. The manager balances the objectives and does not pretend that the conflict is absent.

Each person sees an objective from a different position. The owner sees a result that must be paid for and protected. The manager sees a task to be shared among people. The employee sees a measure of what is expected, and so of what counts as a good year. The customer rarely sees the objective itself, yet feels its effect, for example in better service at the counter.

An organisation does many things, and it cannot give an objective to every action. Where should it place its effort? The answer is the **key result area**, which means a part of the organisation's work where results are vital to success. For a bookshop, sales are one key result area, because a shop that does not sell cannot survive. Stock is another, because too little stock loses sales and too much stock ties up money. Customer service, returns and profit are further

¹ Tk is the symbol for the taka, the currency of Bangladesh. Large amounts are written with commas in groups of three digits.

Recall: planning, Chapter 7, 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'.

An objective is a specific, dated result that an organisation intends to reach.

Objective. Word in use. In daily life, "objective" can describe a fair opinion that does not depend on feelings, and it is also the lens of a microscope. In management, it is a noun: a result to be reached.

Objective. A specific result an organisation or person intends to reach within a stated time.

Objectives give direction, join effort, motivate and supply a measure for later checks.

Objectives have five features: a result, a time, a measure, a network and a possible conflict.

Objective. Word in use. See the note above: in management, a result to be reached.

The same objective looks different to the owner, the manager, the employee and the customer.

Key result areas are the few parts of the work where results decide success.

Key result area. A part of the organisation's work where results are vital to success.

You will need: Chapter 5, 'The Environment of Organisations', section 5.1 'Inside and Outside the Organisation'; Chapter 1, 'What Management Is', section 1.4 'A Manager's Responsibility'.

Imagine a cheap offer that no customer could detect, and ask whether you would accept it.

The easy answer becomes hard once we ask who else is affected.

Every organisation lives among people whom it affects without asking them.

The chapter asks three questions and ends at a building in Savar.

A family acts freely inside its flat but shares the stairs with its neighbours.

Recall: Chapter 5, 'The Environment of Organisations', section 5.1 'Inside and Outside the Organisation' — external forces from society.

An organisation lives in a larger block of flats, which is society.

The duty to act for society's good as well as for profit has a name.

Corporate social responsibility. An organisation's duty to act for the good of society as well as

Imagine that you own a small shop. On Monday a supplier offers you goods at a price far below the usual one. The goods look the same as those you buy now. Your customers would not notice any difference, no inspector will visit, and your profit would rise. Do you accept the offer?

Many people answer at once, but the question is harder than it first appears. Who made these goods, and were those people paid fairly? Who would lose if you bought them? Is the low price lawful? If nobody ever discovers your choice, does it still matter? Each of these questions reaches people who never signed a contract with you.

Every organisation meets this kind of question. It buys from some people, sells to others and employs others. It also uses air, water, roads and land that belong to everyone. Its choices travel far beyond its own door. A manager who reads only the price list sees a small part of the result.

This chapter asks three questions. First, what does an organisation owe to society? Second, how do we decide what is right and wrong when a choice is hard? Third, how can an organisation continue without using up what later generations will need? We shall meet a small bookshop in Dhaka that faces such a choice on 18 June 2026. We shall also visit Savar, near Dhaka, where in 2013 a disaster showed the cost of failing to ask.

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6.1 SOCIAL RESPONSIBILITY

Begin with an everyday picture. A family lives in a block of flats. Inside its own door, the family decides what to cook, when to sleep and how loud to play music. The stairs, the roof and the water tank, however, are shared. A family that leaves rubbish on the stairs harms neighbours who never agreed to it. A good neighbour keeps the stairs clean without being forced to.

An organisation lives in a much larger block of flats, which we call society. Chapter 5 showed that society is one of the outside forces that press on every organisation. This chapter turns the picture round. It asks what the organisation owes to society in return.

The picture has a name in management. **Corporate social responsibility** means an organisation's duty to act for the good of society as well as for profit. A bookshop that refuses to sell stolen goods, pays its employees what it promised and sends its waste paper to recycling is acting on this duty. The word *corporate* once pointed to large companies. The duty, however, applies to every

Steps 3 to 5: open dealing, costs counted and priced, and help beyond the organisation's own business.

Step 3: the organisation deals openly with society. It listens to people outside and tells them what it does. Step 4: it counts the costs and benefits to society before it acts, and it adds the social costs to its price, so that those who gain from a product also pay for its effects. Step 5: it helps to solve social problems beyond its own activity, where it has the ability to do so.

From power (left) to responsibility and action (right)

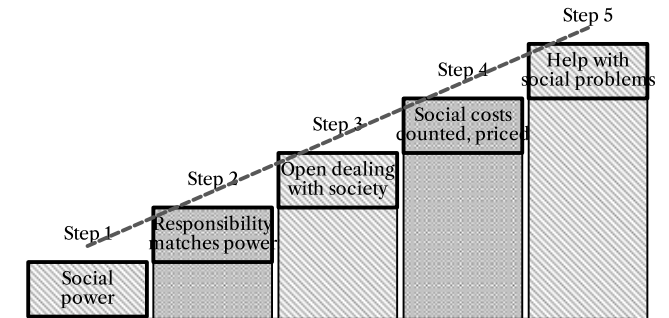


FIG. 6.1. Davis model as five steps from power to responsibility

The figure is read from the lowest step on the left to the highest on the right.

The model guides thought but does not measure results.

The recap of section 6.1.

Read the figure from the lowest step on the left to the highest on the right. Each step is one part of the model, and its height shows that it rests on the steps below. The dashed line joins the steps in order. The numbers and words carry the meaning, so the figure reads the same in grey.

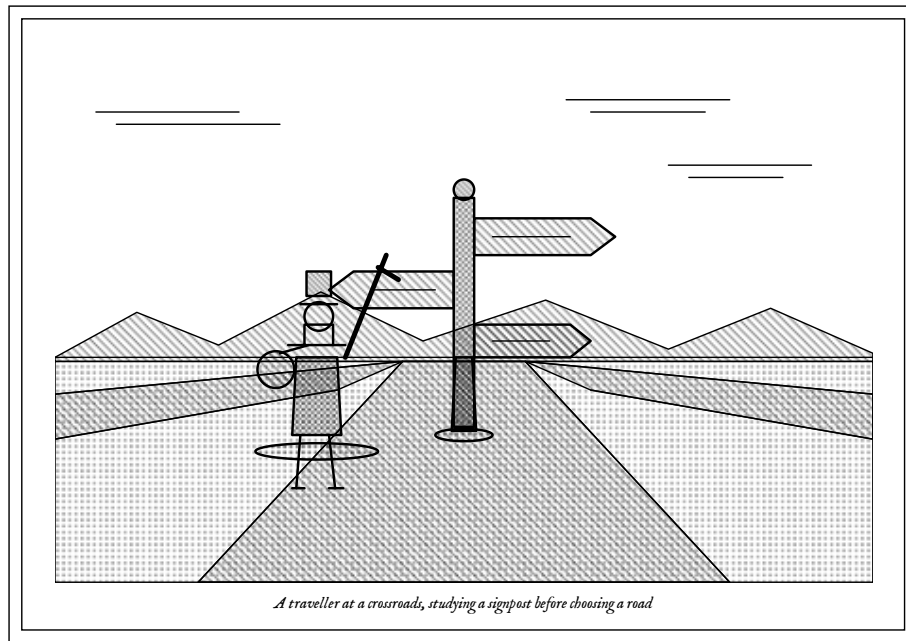
The Davis model has limits. It does not say how much cost is too much, or which social problem an organisation should help first. It assumes that society can see what an organisation does, and in many places society cannot. It gives a smaller organisation a lighter duty, which is fair, but not a duty of zero. A bookshop with seven employees has little power, yet it still owes something to the people it employs and to the neighbours on its street.

Before moving on. Corporate social responsibility is an organisation's duty to act for the good of society as well as for profit. Thinkers disagree about it. One side stresses the owners' money, and the other stresses society's permission and the long-term good name of the organisation. The Davis model climbs five steps, from power to responsibility and on to help beyond the organisation's own business.

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6.2 BUSINESS ETHICS

Ask two questions about any choice. Is it lawful? Is it right? Most people see that the answers can differ. Telling a friend a hurtful lie breaks no law, yet it may be wrong. In the other direction, an old law may require something that many people now think unfair.



CHAPTER IX

Objectives and Management by Objectives

Where are we going, and how will we know when we have arrived?



This chapter explains what an objective is, how to write one that can be measured, and how managers and employees can agree objectives together. It follows one bookshop through the objectives set for 2026 and ends with the system that Peter Drucker described in 1954.

A first question: can an act be lawful and still be wrong?

IN HISTORY

On 6 June 1944, during the Second World War, Allied forces landed on the coast of Normandy in northern France. The operation was called Operation Overlord, and it began with the largest landing from the sea in history. The landing was not repeated. It was a single-use plan on a very large scale.

Planning began in 1943, when a joint British and American staff under Lieutenant-General Frederick Morgan was told to prepare a plan for an invasion in 1944. In late 1943, General Dwight D. Eisenhower was named Supreme Commander. The first target date was in the spring of 1944, and it was later moved to June, and the final day was set by the commanders after studying conditions.

The operation also needed a second plan, a campaign of deception called Operation Bodyguard, meant to hide where and when the landing would be. Both plans were prepared together. The history shows what this chapter has taught: a very large single-use plan needs exact objectives, support from the top, communication among many groups, and the ability to change.

REVIEW QUESTIONS

- 8.1 Sort these plans into standing and single-use: a returns policy, a book fair stall, a yearly budget, the opening of a new branch.
- 8.2 Define policy, procedure and budget, and give one shop example of each.
- 8.3 What is the difference between a long-range plan and a short-range plan, and between a strategic plan and an operational plan?
- 8.4 Explain why support from the top matters to a plan.
- 8.5 State two ways in which a manager can reduce the limits of planning.

The Allied landings in Normandy were planned as a single operation on a very large scale.

Planning began more than a year before the landing.

The plan shows how a single-use plan joins many standing and single-use parts.

Five questions that review the chapter.

Good reasoning about a dilemma follows steps that any manager can use.

Organisations can promote ethical conduct in several practical ways.

Reporting channels, rewards and checks complete the set of ways.

Ethics seen by owner, manager, employee and customer.

The recap of section 6.2.

A farmer who cuts every tree gains one season and loses all later harvests.

Sustainability is the wiser farmer's rule applied to an organisation.

Sustainability. Running an organisation so that it meets today's needs without harming later generations' needs.

A manager can reason through a dilemma in steps. First, state the facts and the choices. Second, list every person affected and the cost each choice puts on that person. Third, ask which moral rules apply, such as honesty or fairness. Fourth, ask whether the law allows each choice. Fifth, choose, and be ready to explain the choice to the people who bear its cost. The steps do not remove the difficulty, but they stop a manager from choosing by habit.

Managers cannot order people to be good, but they can build conditions in which good conduct is likely. Several ways are in common use. The first is a written code of ethics, which states the rules the organisation expects its people to follow. The second is the example of leaders, because employees watch what managers do far more closely than what managers say. The third is training, in which employees practise real dilemmas before they meet them.

Three more ways support the first three. A reporting channel lets an employee raise a concern about wrong conduct without fear of punishment. The organisation should reward ethical conduct and discipline wrong conduct in the same way for every person, whatever their rank. Regular checks of accounts and records then show whether the rules are followed in practice. Each way is weak alone. A code that leaders ignore teaches employees that the code is for show.

Each person sees ethics from a different place. The owner wants a name that customers trust. The manager wants rules that are clear enough to apply on a busy day. An employee wants to know that a refusal to do wrong will not cost a job. A customer wants to know that the price, the product and the promise are honest.

Before moving on. Business ethics is the set of moral rules that decide what is right and wrong in business conduct. Law and ethics overlap but are not the same, and a lawful act can still be wrong. An ethical dilemma is a choice in which every option has a cost to someone, and it differs from a temptation. Organisations promote ethics through codes, example, training, reporting channels, fair rewards and checks.

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6.3 SUSTAINABILITY

Picture a farmer with an orchard of mango trees. In one hungry year the farmer cuts every tree and sells the wood. The money feeds the family this year, but there will be no fruit next year or in any year after it. A wiser farmer picks the fruit, plants new seedlings and leaves the orchard as healthy as it was found.

The wiser farmer's rule has a name. **Sustainability** means running an organisation so that it meets today's needs without harming later generations' ability to meet theirs. The United Nations asked a group called the World Commission on Environment and Development to study the question. Its report *Our Common Future*, published in 1987, made this meaning widely known.³ A bookshop

³ The commission is often called the Brundtland Commission, after its chair, Gro Harlem Brundtland of Norway.

OVERCOMING THE LIMITS OF PLANNING

The fourth habit is to accept that planning has limits and to reduce them. The future cannot be known, so every plan rests on assumptions that may prove wrong. Planning takes time and money, and a plan that is too detailed may cost more than it saves. Plans can also lead managers to follow them after they stop fitting the facts.

Three actions help. First, review plans on a fixed date, for example at the start of each season, and ask whether the planning premises still hold. Second, plan in proportion: give more detail where an error costs much, such as a large order, and less detail where the cost is small. Third, keep a margin, which means a small reserve of money or time to meet surprises. A shop that plans for a large order with no reserve is one price change away from trouble.

A short test helps a manager to decide whether a plan is ready. Ask four questions. Do the senior managers support it? Is the objective exact, with a date? Do all the affected employees know it? Is there a fixed day to review it and change it? If any answer is no, the plan has a weak point, and it is cheaper to repair the weak point before the plan starts than after it fails.

PAUSE AND CHECK 8.P2 The shop's owner makes a new plan for the book fair but tells nobody except the store manager. Which of the four habits is weak, and what should the owner do?

Before moving on. Planning works when the top supports it, objectives are exact and shared, employees know the plan, and the plan can change. The limits of planning are reduced by regular review, proportion and a margin.

* * *

WORKED CASE: SORTING THE SHOP'S PLANS FOR 2026

This worked case follows the standard order for a descriptive chapter: Situation, Question, Reasoning, Conclusion and Check. It applies the ideas of the chapter to the shop's own record, and it is a study of the idea and not a model answer.

Situation. The shop has three plans for 2026. The first is a returns policy: exchange within 7 days with a receipt. The second is a 28-day book fair stall in February 2026, with a budget of Tk 240,000 and expected sales of Tk 900,000. The third is a yearly budget with sales of Tk 15,840,000.

Question. Which plans are standing and which are single-use, and what do the figures show about the book fair?

Reasoning. First, sort the plans by repeat use. The returns policy applies every day and has no end date, so it is a standing plan. The book fair stall has a start and an end and will not be repeated, so it is a single-use plan. The yearly budget is renewed each year in form, so it behaves as a standing plan, although its figures change. Second, compare the figures of the fair. The expected sales exceed the planned spending by Tk 900,000 – Tk 240,000 = Tk 660,000.

Planning has limits, and a manager can reduce them but not remove them.

Three actions reduce the limits: review often, plan in proportion and keep a margin.

A manager should test a plan against the four habits before using it.

Section 8.3 in four lines.

This worked case sorts the shop's plans and tests their figures.

The situation lists the three plans in the 2026 case file.

The question asks for the kind of each plan and what the figures show.

The reasoning sorts the plans first, then compares the figures.

Tests 3 and 4: the model and the triple bottom line weigh the gain against the risk.

The conclusion and the check agree that the shop should decline.

Rung 2 reshapes the case: the books are genuine old stock.

Rung 3 moves the case to a garment buyer in another setting.

Rung 4 combines the ideas into a choice with costs to several people.

A short summary of the chapter's five defined terms and their links.

sale, because they receive nothing from it. The customers may also receive a poorer product than they believe they are buying. The shop would bear the cost of a damaged name.

Reasoning, tests 3 and 4: the Davis model and the triple bottom line. Davis step 3 asks whether the shop could tell its customers openly how it obtained the books. Step 4 asks that the social costs be counted, and here they fall on the authors and the publisher. For profit, the saving of Tk 40,000 compares with the 2025 profit of Tk 750,000 as $40,000 \div 750,000 = 0.053$, or about 5.3 per cent. Against this, schools bought Tk 3,600,000 of the 2025 sales of Tk 14,400,000, which is 25 per cent of sales. A school that learned of unauthorised copies might stop buying.

Conclusion. The shop should decline. The offer probably fails the law, fails the moral rules, hides a cost from the authors and the publisher, and risks a much larger share of sales than it gains. *Check.* All four tests point the same way, and the case file records that the shop declined. The shop's own record therefore agrees with the reasoning.

CHANGING THE SITUATION

The same ideas help in new situations. In the second rung, suppose the supplier offers genuine copies of an earlier edition at Tk 180 because the edition is being cleared. The law test is passed. The moral rule of honesty now asks whether customers know that the edition is old.

In the third rung, a clothing buyer in another country is offered garments at a low price from a factory that no one has inspected. The Davis model says that the buyer's power creates a duty, and step 4 says that the safety cost must be counted and not passed to the factory's employees.

In the fourth rung, a small organisation learns that its supplier keeps prices low by dismissing employees without notice. Dropping the supplier may raise its own costs. The choice is a dilemma, so we list those affected, apply the Davis model and judge the result by the triple bottom line.

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SUMMARY

Corporate social responsibility is an organisation's duty to act for the good of society as well as for profit. The Davis model links that duty to power in five steps. Business ethics gives the moral rules for judging conduct, and an ethical dilemma is a choice in which every option has a cost to someone. Sustainability asks an organisation to meet today's needs without harming later generations. The triple bottom line judges an organisation by profit, people and the natural environment.

THINK IT THROUGH

6.T1 A small printing shop is offered a rush order. It can finish on

8.2 TIME SPAN AND LEVEL

A second way to sort plans is by time. How far into the future does the plan reach? A long-range plan looks several years ahead, often three to five years, or more. A short-range plan looks ahead for a year or less. The shop's plan to open a second branch in five years is long-range. Its plan for next week's staff timetable is short-range. The two are linked, because the short-range plans are the steps that lead toward the long-range plan.

A third way to sort plans is by level. A strategic plan sets the main direction of the whole organisation, such as which customers to serve and which new business to enter. An operational plan states how one part of the organisation will carry out its daily work, such as how many people stand at the counter. Strategic plans are usually made by the owner or top managers and look far ahead. Operational plans are made by lower managers and employees and look a short way ahead. The planning steps of Chapter 7 apply at every level.

The figure arranges the plans of this chapter in a grid. Read it as follows: the two columns show whether a plan is used again or used once, and the two rows show whether it looks far ahead or only a short way. Find a plan by choosing its column and its row. The placing is a guide and not a law, because a policy may last for a few months and a project may last for years.

	Used again	Used once
Long-range	Policy Yearly budget	Programme Opening of a branch
Short-range	Procedure Rule	Project Book fair stall

Dotted and hatched squares only separate the four cells; the words in each cell carry the meaning.

FIG. 8.1. Plans arranged by time span and by repeat use

Why does the shop need both? A long-range plan alone is too distant to guide the week, and a short-range plan alone has no direction. Suppose the owner wants to open a second branch in five years. That aim is long-range. To reach it, the shop needs a yearly budget, a plan for saving money, and a plan for training a manager for the new branch. These are short-range plans, each a step on the road. A manager checks that every short-range plan points the same way as the long-range one.

The same fitting is needed between levels. The owner's strategic plan says which customers the shop wishes to serve, for example

Plans can be sorted by how far ahead they look.

Plans can also be sorted by level: Strategic plans set direction, operational plans do the daily work.

The grid places the main plans by repeat use and by time span.

Short-range plans are the steps that lead toward long-range plans.

Strategic and operational plans fit together like a frame and its pictures.

6.2 Give one argument for and one argument against the idea that organisations should carry a duty to society. State which owner, manager or employee would most likely make each argument.

6.3 Name the five steps of the Davis model in order. For step 2, say what the iron law of responsibility warns.

6.4 Explain the difference between an ethical dilemma and a temptation, with one example of each.

6.5 Sort each act as legal, ethical or both, and give a reason: (a) paying employees on the day promised; (b) selling a stolen book; (c) giving employees paid leave for a funeral when no law requires it.

6.6 A rival bookshop cuts the safety of its storeroom to lower its price. Using ideas from this chapter, explain why this is a problem for society and for the rival, and say what a manager at your own shop should do.

SINGLE-USE PLANS

The second group is the **single-use plan**. A single-use plan is a plan made for one occasion or project and not used again. A book fair that happens once, a move to a new building and the opening of a branch are all examples. Once the occasion is over, the plan has no further use, although the manager may learn from it when making the next one.

The two groups answer different needs. Think of the owner's viewpoint. The owner wants the repeated questions answered cheaply and the rare event answered carefully. The employee's viewpoint is different: the employee wants to know quickly what to do about a returned book, and has little need to know about a book fair that will not return. A well-run shop therefore keeps a small collection of standing plans for daily work, and writes a new single-use plan for each large event.

PAUSE AND CHECK 8.P1 A shop plans a one-day sale to clear old stock. Is its plan a standing plan or a single-use plan? What would change your answer?

POLICY, PROCEDURE AND RULE

Standing plans come in three common forms. They differ in one respect: how much freedom each leaves to the person who follows it. A policy leaves the most freedom, a procedure leaves less, and a rule leaves none. The table below sets them side by side. Read it row by row: the left column names the form, the middle column says what it does, and the right column gives a shop example.

THREE FORMS OF STANDING PLAN

FORM	WHAT IT DOES	SHOP EXAMPLE
Policy	Gives a general guide and sets limits for choices	Returns are accepted only within a set time
Procedure	Lists the steps in order for a repeated task	Check the receipt, check the book, record the exchange
Rule	Requires one action in one situation, with no choice	No exchange without a receipt

A **policy** is a general guide for decisions, setting limits within which choices are made. For example, a shop that decides "we exchange books within a fixed number of days" has set a policy. Within that limit the employee can decide: a customer who returns a damaged book on the last day may be helped, while one who returns an old book may be refused. A policy gives direction and leaves judgement.

A **procedure** is a fixed series of steps to be followed for a repeated task. Where a policy says what is allowed, a procedure says how to carry it out. For example, the exchange procedure may say: ask for the receipt, check the date, check that the book is undamaged, give the new book, and write the exchange in the record. The steps are always the same, and the order always matters.

A rule is the narrowest standing plan. It says that in one situation

A single-use plan is made for one occasion and then set aside.

Single-use plan. A plan made for one occasion or project and not used again.

Single-use plans fit rare events, while standing plans fit repeated ones.

Three kinds of standing plan differ in how much freedom they leave.

A policy is a general guide that sets limits within which choices are made.

Policy. A general guide for decisions, setting limits within which choices are made.

A procedure is a fixed series of steps for a repeated task.

Procedure. A fixed series of steps to be followed for a repeated task.

A rule requires one action and

YOU WILL NEED

This chapter builds on two earlier ideas. The first is the list of activities that every manager performs, in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'. The second is how output is compared with the resources used, in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.2 'Productivity'.

A family must reach a wedding in another city before the ceremony starts.

GO SLOWLY HERE.

Wanting to arrive is not the same as knowing how to arrive.

Plan. Word in use. In daily life, an intention, as in "I plan to rest." In management, a statement of what will be done, by whom and by when.

A shop faces the same puzzle on a larger scale, with money and deadlines.

Answering that question is the work of planning, which this chapter teaches.

A plan states what will be done, by whom and by when.

Plan. A written or spoken statement of what will be

Imagine that a family has been invited to a wedding in a city 300 kilometres away. The ceremony starts at noon on Saturday. Nobody has decided how to travel, what to carry, or when to leave. On Friday evening, one person says, "We will manage somehow." Is that sentence enough? Think about the questions that remain. Which road? Which vehicle? Who pays for fuel? What happens if the road is closed by rain? Each question has an answer, but the family has not found the answers yet.

The family wants one thing, which is to arrive on time. Wanting is the easy part. The difficult part is deciding, before the journey begins, what will be done and in what order. A family that sits down on Wednesday, chooses the road, counts the hours, and agrees who will drive has made a plan. A family that waits until Saturday morning has only a wish.

Now move from a family to a shop. A bookshop must order thousands of textbooks weeks before the school season opens. If the owner waits until the shelves are empty, the books will arrive too late, and customers will buy elsewhere. If the owner orders too many, money is locked in books that do not sell. The puzzle is the same as the family's, but the cost of a wrong answer is greater. This chapter answers a simple question that has no simple answer: how does a manager decide, in advance, what to do?

We shall build the answer in layers. First we define planning and see what it does. Then we learn five steps that take a manager from a wish to a decision. Last we study why plans fail, because a plan that fails teaches as much as one that works. Many students find this chapter slow, because the ideas feel obvious after they are explained. They are not obvious before. Take your time.

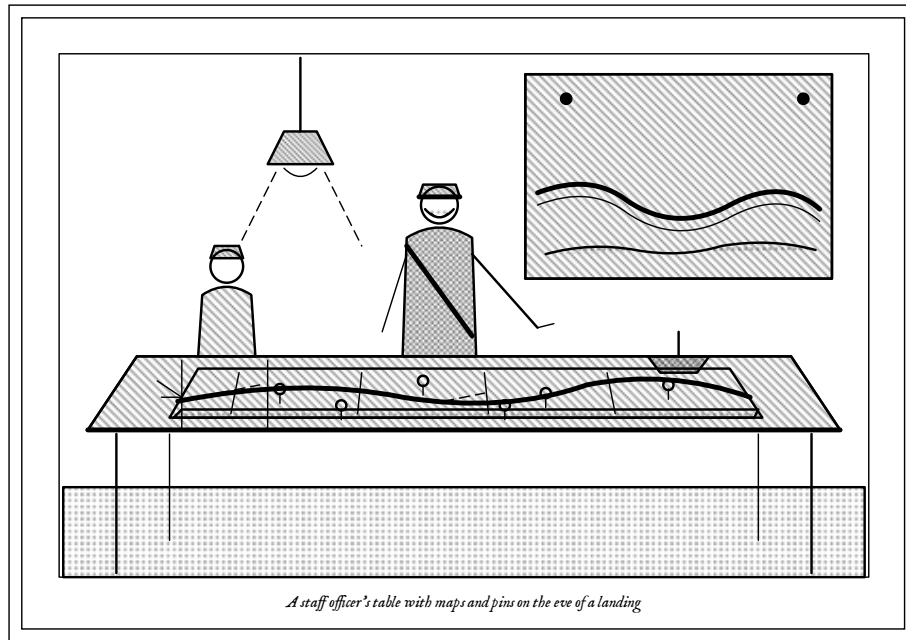
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7.1 WHAT PLANNING IS

PLANNING DEFINED

Begin with the plan itself, because planning is the act of making one. A **plan** is a written or spoken statement of what will be done, by whom and by when, to reach an objective. Here an objective

¹ A full account of objectives is given in Chapter 9 'Objectives and Management by Objectives', section 9.1 'Objectives'. Until then, read objective as the result that you have chosen to reach.



CHAPTER VIII

Kinds of Plans and Making Planning Work

Must a manager think everything out again each morning?



This chapter sorts plans into kinds: those used again and again, and those used once. It shows how plans differ by length of time and by level, and it explains what makes planning work in practice. The examples come from a bookshop's returns, a book fair and a yearly budget.

You should now be able to name the five features.

Planning serves several purposes, from reducing guesswork to making control possible.

GO SLOWLY HERE.

Planning improves productivity and effectiveness by directing effort to the aim.

Planning has limits, and the last section of this chapter returns to them.

You should now be able to list the purposes of planning.

Section 7.1 in three lines.

Planning follows five steps in order, and each step needs the one before it.

in size, but each one answers the same three questions of action, person and time.

Recap. Planning looks forward, serves a purpose, chooses, happens at every level and never ends. You should now be able to say: "Planning is a reasoned decision about the future, taken in advance."

THE PURPOSES OF PLANNING

Why plan at all? The family could drive and see what happens. Four purposes answer the question. First, planning reduces uncertainty, because it makes the manager look at the future before it arrives. Second, planning gives direction: every employee knows the aim and the part each person plays. Third, planning saves effort, because it removes wasted work and repeated decisions. Fourth, planning makes control possible, because a manager can check results only against something that was planned.

These purposes connect to two ideas from Chapter 3. Planning raises productivity, which compares output with the resources used.³ It also raises effectiveness, which asks whether the right aim was reached. A shop that orders the correct number of books wastes less money, so it is more productive. It also meets its customers' needs, so it is more effective.

Planning has its limits too, and an honest account must say so. It costs time and money. It can make an organisation rigid if the plan is followed after conditions have changed. These limits do not remove the value of planning. They warn the manager to plan with care, and section 7.3 examines them.

Recap. Planning reduces uncertainty, gives direction, saves effort and makes control possible. You should now be able to say: "Without a plan there is nothing to check results against."

PAUSE AND CHECK 7.P1 Think of a task you did recently without a plan. What would the plan have contained: the action, the person and the time?

Before moving on. A plan states what will be done, by whom and by when. Planning is the advance decision that produces it, and it is forward-looking, purposeful, choosing, shared and continuous. Its purposes are less uncertainty, direction, saved effort and the possibility of control.

* * *

7.2 STEPS IN PLANNING

Is there a method for planning, or does each manager invent one? Managers have found that good plans usually pass through five steps in the same order. The ladder below shows them. Read it from the bottom rung to the top: each rung is one step, and a manager climbs one rung before reaching the next. Missing a rung is like missing a stair in the dark; the next step becomes unsafe.

³ Measures of performance are explained in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.2 'Productivity'.

THINK IT THROUGH

The questions begin with the shop and move to new settings.

7.T1 The shop's season starts on 2 January 2026 and the supplier lead time is 21 days. By what date must the order be placed, and why?

7.T2 Suppose the shop built its plan on the premise that prices stay the same, but publishers raise prices by 5%. Show how much more the order costs, and say what the manager should have done.

7.T3 A family restaurant plans to open a second branch. Name the five steps of planning and give one question the owner should ask at each step.

7.T4 A school plans a sports day outdoors in the rainy season, and the plan assumes dry weather. List two alternatives the school could weigh and say how each handles the premise.

WHERE PEOPLE GO WRONG

Some students think that a plan promises what will happen. It does not. A plan is a decision about what to do, based on premises. When the premises change, the plan must change.

Some students think that only owners plan. In fact an employee who decides the order of tasks for the morning is planning too. The size of the plan changes with the level; the three questions of action, person and time stay the same.

Some students jump from the first idea to action. The five steps exist because each one removes a kind of error. Without objectives the aim is unclear; without premises the future is ignored; without alternatives the choice is the first idea and not the best one.

Some students believe that writing the plan completes the work. A plan that is not carried out, and not reviewed, is only a document. Planning ends when results have been compared with the plan.

IN HISTORY

On 25 May 1961, President John F. Kennedy told the United States Congress that the nation should commit itself to landing a person on the Moon and returning that person safely to Earth before the decade ended. At that time the country had sent a person into space for only a few minutes. The goal was bold, and it was stated with a date.

A goal of this size cannot be reached by wishing. NASA, the space agency of the United States, had to study possible methods, estimate costs and time, build rockets and train astronauts. It listed and weighed different ways of reaching the Moon and chose the method of lunar-orbit rendezvous, in which a small landing craft leaves a larger spacecraft that stays in orbit. The work followed the same pattern that this chapter has described: an objective, premises, alternatives, a choice and then action.

Four questions that change the situation step by step.

A plan is not a guarantee about the future.

Planning is not only for senior managers.

Skipping steps produces weak plans.

A written plan is not useful if nobody follows it.

A president set a goal and a national team built the plan to reach it.

Planning turned the goal into many steps carried out by many people.

A planning premise is an assumption about future conditions on which a plan is built.

Premise. Word in use. In daily life, a building and its land, as in "the shop premises". In planning, an assumption stated at the start of an argument or a plan.

Planning premise. An assumption about future conditions on which a plan is built.

Premises are a choice of which assumptions matter, so a manager picks the few that count most.

A forecast is a reasoned estimate of what will happen, used as a base for a plan.

Forecast. A reasoned estimate of what will happen in the future, used as a base for a plan.

The shop's case file records its main premise and its supplier lead time.

The lead time is the gap between ordering and receiving, and it fixes the deadline.

You should now be able to say what a planning premise is and why it is written down.

The fourth step is to list the possible ways to reach the objective and compare them.

GO SLOWLY HERE.

premise. A family might assume that the road will be open and that fuel prices will stay the same. These assumptions are the ground on which the plan is built.

A **planning premise** is an assumption about future conditions on which a plan is built. Suppose a family assumes that it will rain on Saturday. That assumption changes the plan: umbrellas are packed and extra time is allowed. If the assumption is wrong and the day is dry, little harm is done. If the assumption is the opposite, and the family expects sun in a monsoon, the plan fails on the road.

The manager cannot list every possible condition, so the manager picks the few assumptions that would change the plan most. Of all the things that might change, a shop owner asks which ones would make the order too large or too small. Prices, customer numbers and delivery time usually matter most. Choose the few important assumptions and write them down, so that everyone who uses the plan shares them.

One of the best sources of premises is a **forecast**. A forecast is a reasoned estimate of what will happen in the future, used as a base for a plan. For example, a shop may estimate next season's sales from the sales of the last three seasons. The word "reasoned" matters: a forecast rests on evidence such as past records, and it is more than a hope. Even so, a forecast can be wrong, and a careful manager reviews the forecast when facts change.

Case file, illustrative. Premise for the textbook season: publishers raise prices by 5%. Supplier lead time: 21 days.

Read the record carefully. The lead time of 21 days is the gap between placing an order and receiving the books. Count 21 days from the order deadline of 12 December: December has 31 days, so $12 + 21 = 33$, which is 2 January. The books ordered on the last day arrive on the first day of the season. This shows why a deadline must be set backward from the date when the result is needed.

Recap. A planning premise is an assumption about future conditions on which a plan is built, and a forecast is a good source for one. You should now be able to say: "A premise is what we assume about the future, written down so that everyone shares it."

PAUSE AND CHECK 7.P2 The shop's plan assumes that publishers raise prices by 5%. Say what would happen to the order value if publishers raised prices by 10% and the shop did not change its plan.

STEP FOUR: LISTING AND WEIGHING ALTERNATIVES

With the objective and premises written down, the manager asks how the objective can be reached. There is almost never one way. A family can drive, take a bus or hire a car. We call each possible course of action an alternative. Listing alternatives forces the manager to think beyond the first idea, which is often not the best.